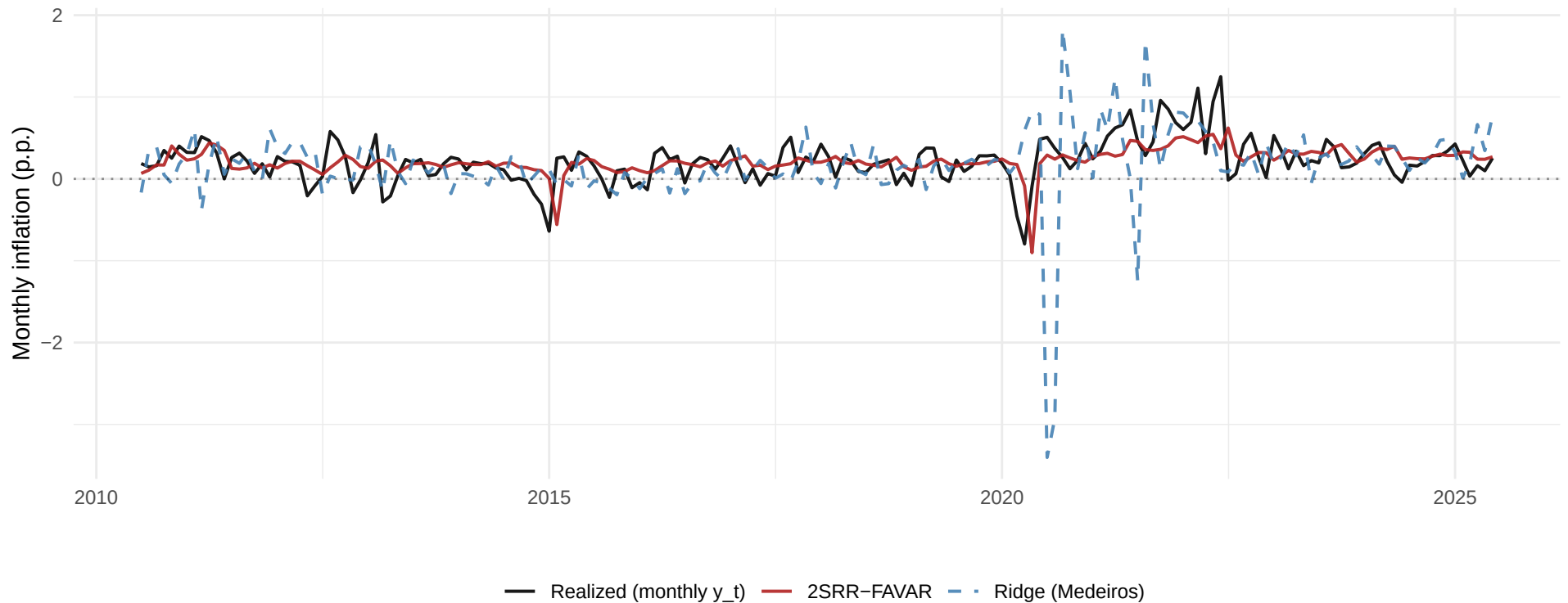


2SRR-FAVAR vs classical Ridge (Medeiros), $h=3$



Realized = monthly y_t ; lines = forecast of π_{t+h} (no rescaling)